

Weekly Market View

Locking gains in Asia, rotating to Euro area

→ The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows.

→ While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

→ This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June.

→ The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

Bullish Hang Seng Tech index:
AI adoption to create long-term value

Bullish AUD corporate bonds:
attractive yield, peak RBA hawkishness, AUD strength

Rangebound GBP/USD:
Election downside risk offset by weaker USD

Charts of the week: Rotating equity allocations

We took profit on the outperforming Asia ex-Japan equities, rotating into Europe ex-UK, which has underperformed YTD

Changes to our foundation equity market allocation views

Equities	Our views
US	▲
Asia ex-Japan	◆
Japan	◆
Europe ex-UK	◆
UK	▼

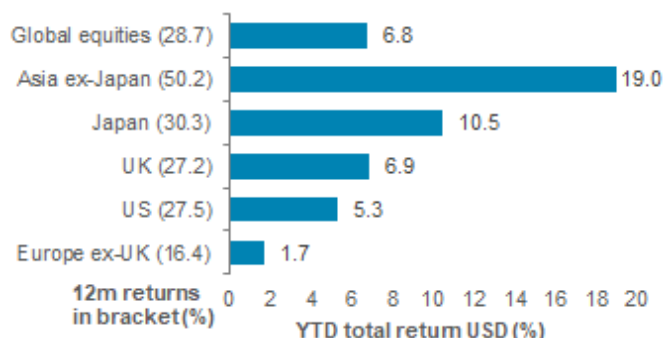
Legends: ▲ Overweight | ▼ Underweight | ◆ Core holding

Green represents an upgrade from previous houseview;

Red represents a downgrade from previous houseview

Source: Bloomberg, Standard Chartered; *As of 4 May

Regional equity market performance YTD*



Editorial

Locking gains in Asia, rotating to Euro area

Strategy summary: The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows. While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June. The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

A broadening rally: This year's global equity rally has been highly concentrated, with nearly 50% of gains attributed to the semiconductor industry. This benefitted our Overweight view on Asia ex-Japan, which includes semiconductor leaders – South Korea and Taiwan. While our structural bullish stance on the AI revolution remains intact, the AI rally is entering its next phase, where downstream beneficiaries such as internet platforms (key customers of semiconductors) are expected to increasingly capture value. A more balanced positioning across tech-related markets and industries is therefore prudent.

Locking gains in Asia, rotating to Euro area: On 5 May, we took profit on our Overweight view on Asia ex-Japan (outperformer) and rotated to Europe ex-UK (underperformer), to capture the broadening rally (for details, please see Market Watch "Broadening of the rally", published 5 May). Europe ex-UK equities are likely to benefit from AI adopters across the industrial, financial, consumer, and healthcare sectors. We also closed our opportunistic idea on global semiconductors, locking in significant gains. Within Asia ex-Japan, we maintain

Overweight positions in Taiwan, China, and India to benefit from the AI value chain and domestic growth.

Potential US-Iran deal to restart Hormuz shipping: A US-Iran deal looks likely amid mounting economic pressure on all sides. US gasoline prices have surged above USD 4.5/gallon, and President Trump's approval rating is falling. The Hormuz strait blockade is increasing pressure on Iran's oil industry and its economy. China's intervention this week, urging Iran to reopen the strait, which comes ahead of next week's Trump-Xi meeting, could be the decisive factor leading to a deal.

US-Iran deal to ease inflation, bond yields and the USD: A restart of Middle East energy flows should lower near-term inflation expectations. While major central banks are likely to hold rates in the near term, the Fed is likely to cut later this year as the latest oil shock weighs on growth with a lag (watching April's jobs report tonight and inflation report next week). Although the ECB has set the stage for a June hike amid rising inflation, markets may be underestimating the medium-term growth impact of the oil shock. We expect one ECB rate hike this year, in June vs. market odds of 2–3 hikes. This policy outlook means bonds offer attractive risk-reward for investors seeking to lock in yields. We are tactically bullish on AUD bonds following this week's RBA meeting, which delivered a rate hike alongside relatively dovish guidance from Governor Bullock.

Japan draws the line on yen depreciation: Japan authorities have intervened in FX markets since 30 April for the first time in two years to support the yen as USD/JPY crossed 160. This signals they do not want further yen depreciation given its negative impact on imported inflation. However, FX intervention is a stop-gap measure. The BoJ is likely to hike its policy rate, potentially as early as June, to bring it closer to inflation. The BoJ is under pressure to prevent rising wage-driven inflation from un-anchoring long-term inflation expectations. We expect USD/JPY to fall to 152 over 12 months, with the BoJ hiking 50bps by December, and the Fed cutting 25bps.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

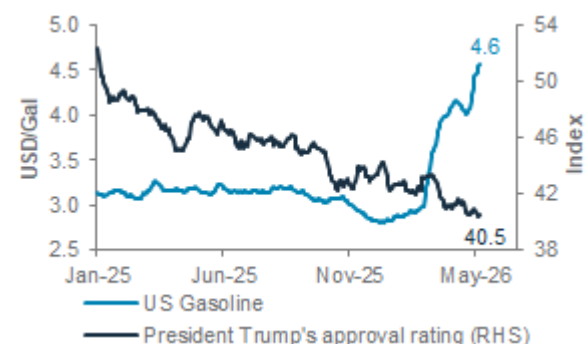
(+) factors: Likely US-Iran agreement to restart Hormuz shipping

(-) factors: Weak US mfg and services activities, mixed US jobs data

	Positive for risk assets	Negative for risk assets
Macro data	- US JOLTS job openings fell less than expected to 6.87m in March - Euro area Sentix investor confidence came in above estimates at -16.4 in April - US Q1 unit labour cost growth slowed more than expected to 2.3%	- US private payrolls (ADP) rose less than expected by 109,000 in April - US ISM manufacturing and key sub-indices PMIs missed estimates in April, with rising prices paid - US ISM services PMI rose less than expected to 53.6 - Euro area producer price inflation rose unexpectedly to 2.1% y/y in March
	Our assessment: Negative – Softer-than-expected US manufacturing and services activities, mixed US jobs data	
Policy developments	- ECB's Villeroy signalled not enough second-round inflation effects from oil prices yet to justify rate hike - RBA raised the cash rate to 4.35% as expected, but Governor Bullock offered relatively dovish guidance	- BOJ minutes showed the need to hike rates if energy shock continues - ECB's Kazimir signalled a June hike due to the inflation pressures
	Our assessment: Negative – Potential BoJ rate hike	
Other developments	- US and Iran are reportedly close to agreeing a 14-point memorandum to end the conflict - China, in talks with Iran's top diplomat, warned against resuming the conflict with the US - President Trump confirmed his planned trip to China will go ahead as scheduled on May 14-15	- The US and Iran exchanged attacks on military targets and navy ships, re-escalating their conflict; earlier Iran attacked UAE targets - Ukraine struck Russia's Primorsk port on the Baltic Sea - EU warned of retaliation if the US raises auto tariffs to 25%
	Our assessment: Positive – Likely easing of US-Iran tensions and resumption of Hormuz strait shipping	

US gasoline prices have surged, while President Trump's approval ratings have dropped to the lowest levels of his second term, increasing pressure to reach an agreement with Iran

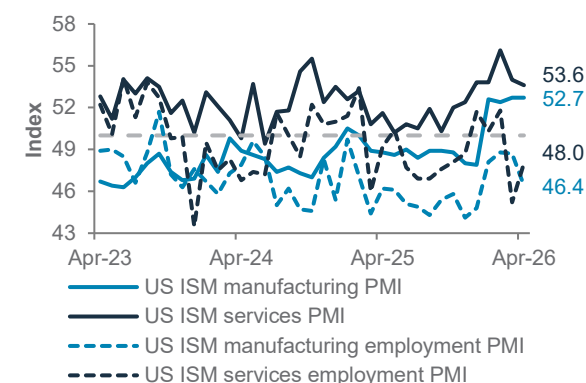
US daily national average gasoline prices and President Trump's job approval poll rating



Source: Bloomberg, Standard Chartered

US ISM manufacturing and services PMIs and employment PMIs came in below estimates

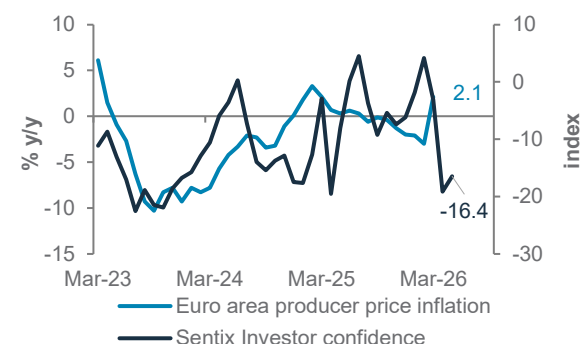
US ISM manufacturing and Services PMI, and employment PMIs



Source: Bloomberg, Standard Chartered

Euro area producer prices indicated a resurgence of inflationary pressure driven by the jump in energy costs

Euro area producer price inflation and Sentix investor confidence



Source: Bloomberg, Standard Chartered

Top client questions

Q How does your view of a broadening of the global equity rally impact your regional equity preferences?

Our view: We closed our Asia ex-Japan (AxJ) Overweight idea, taking profit on its outperformance and rotating into Europe ex-UK, an underperformer. We remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India.

Rationale: We remain positive on global equities and expect the equity rally to broaden, given resilient corporate earnings growth. Hence, we have taken profit on **AxJ, the best performing major market year to date (YTD)**, shifting our view from Overweight to a Core allocation. At the same time, we have closed our Underweight view on Europe ex-UK, the worst performing region YTD. We remain Overweight US equities, which are likely to deliver the second-highest expected earnings growth (19.1%) over the next 12 months among major equity regions, behind AxJ (46.0%).

AxJ's YTD strength has been led by South Korean equities, where we have a Core allocation. We continue to prefer a diversified approach within AxJ. Taiwan offers exposure to structural semiconductor growth, while China offers valuation re-rating potential due to its valuation discount amid stable policy support and AI developments. Meanwhile India offers non-tech, domestic-driven growth at reasonable valuations.

— Fook Hien Yap, Senior Investment Strategist

Q What do you expect from the upcoming Chinese Big Tech companies' earnings releases?

Our view: Although near-term earnings growth faces pressure from elevated capex and intensified e-commerce competition, AI-driven capabilities are expected to support long-term value creation. We remain positive on the Hang Seng Tech index.

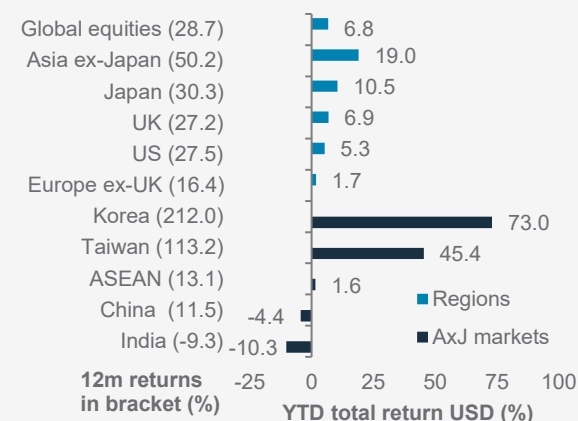
Rationale: Chinese Big Tech companies are set to report Q1 2026 earnings from 12 May. Consensus 2026 earnings per share (EPS) growth for Hang Seng Tech has been revised downward, reflecting near-term pressure from **rising capex** and **intense e-commerce competition**. However, 2027 estimated growth remains intact, signalling an anticipated medium-term normalisation.

Despite near-term pressures, **rising AI adoption** is a key growth driver. Chinese internet giants are deeply embedding AI across gaming, social media and advertising to accelerate monetisation. Meanwhile, China has been promoting **research and innovation** amid global competition. Combined with policy initiatives to curb excessive competition and stimulate domestic demand, we expect the combined measures to support future earnings and margin expansion.

— Jason Wong, Senior Equity Analyst

As the rally broadens out, we remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India

Regional equity market performance YTD*



Source: Bloomberg, Standard Chartered; *As of 4 May

Hang Seng Tech's intact 2027 earnings growth estimates, despite downward revisions to 2026 estimates, signal medium-term normalisation

Consensus 2026 and 2027 earnings growth estimates for the Hang Seng Technology Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Given elevated energy prices, what underpins your expectations of a 25bps Fed rate cut this year? What is your near-term view on the US 10-year bond yield? Is intermediate duration still the right exposure for bonds?

Our view: We retain our expectation of one 25bps Fed rate cut in 2026 as we see the Fed policy narrative pivoting from inflation to growth. We retain our preference for intermediate- and short-duration US High-yield (HY) bonds for 'carry' and Treasury Inflation-protected Securities (TIPS) as an inflation hedge.

Rationale: We continue to expect the Fed to deliver one 25bps rate cut before year-end 2026. While the central bank is unlikely to be in a hurry, given near-term inflationary pressures – visible in the March 2026 personal consumption expenditure (PCE) print of 3.5% y/y – we expect a **lack of sustained inflationary pressures**, enabled by a **relatively soft labour market**, to eventually open the door for lower policy rates.

We continue to **view 5-7-year maturities as offering the most attractive risk-reward**, capturing potential capital gains from Fed cuts and meaningful upside from longer-duration bonds, but with significantly lower rate volatility. While Middle East de-escalation could lift disinflationary expectations and reprice risk premia, energy supply disruptions and fiscal deficit concerns leave the long-dated duration vulnerable to term-premium pressures. Moving sharply down the curve is also not preferred, as coupon income diminishes. We are **tactically bullish on short-duration HY corporates**, where higher yields more than compensate for shortened duration, supported by late-cycle fundamentals.

Recent hawkish repricing has pushed yields to the middle or upper bound of our three-month range, creating a tactical entry point for selective tenors in the near term. For longer-term positioning, reports of a potential Middle East deal present an opportunity to lock in yields in our preferred 5-7-year tenors. **We would extend duration if front-end yields rally meaningfully or if the term premium subsides sustainably.** A delayed conflict resolution remains a key risk, potentially reintroducing long-end volatility. Encouragingly, central banks view oil's inflation pass-through as manageable, reinforcing our view that the Fed will look through the near-term spike and resume cuts in H2 2026. Under this backdrop, we believe TIPS serve best as a portfolio hedge.

The US 10-year bond yield fell to roughly 4.35% on news of conflict de-escalation, near the midpoint of our three-month forecast. We see further room for the 10-year yield to decline, with technical indicators pointing to support at 4.27% – the convergence of the 50-day moving average and the 38.2% retracement of the January 2025 high.

— **Ray Heung**, Senior Investment Strategist
— **Cedric Lam**, Senior Investment Strategist

The US 10-year government bond yield has room to move lower

US 10-year government bond yield, Fibonacci retracement (Jan-2025)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Does the latest Reserve Bank of Australia (RBA) commentary alter your bullish view on AUD corporate bonds?

Our view: *We maintain our Opportunistic bullish view on Australian Dollar (AUD) corporate bonds.*

Rationale: While the RBA chose to hike policy rates by 25bps to 4.35%, **we remain positive on AUD corporate bonds** because we see the decision as a signal of 'peak hawkishness' rather than the start of a more extended tightening cycle. Governor Bullock signalled **a likely upcoming pause** to assess the impact of the recent tightening. Importantly, the RBA's downgraded 2026 growth outlook suggests **policy is already restrictive**, which should cap further rate rises. We believe this explains the calm reaction in AUD corporate bond yield premia, which remained rangebound after the RBA decision. Given these factors, AUD corporate bond yields and yield premia remain attractive, in our view.

AUD strength adds an additional layer of support for total returns. AUD/USD has appreciated about 2% since we initiated the idea, bringing it close to our three-month target. **AUD gains vs. the USD are likely to resume later in 2026** as expectations build for the Fed to resume rate cuts in H2 2026. For now, we expect the AUD/USD to consolidate at recent highs, anticipating the pair will reach 0.73 in three months and 0.75 in 12 months.

— Ray Heung, Senior Investment Strategist

— Iris Yuen, Investment Strategist

Q What is your tactical outlook for the Pound Sterling (GBP) following the UK local elections?

Our view: *GBP/USD is expected to stay rangebound between 1.3480 and 1.3730 in the coming weeks, as the likely outcome of Labour losing seats is already reflected in the market and any downside risk is likely to be offset by USD repricing.*

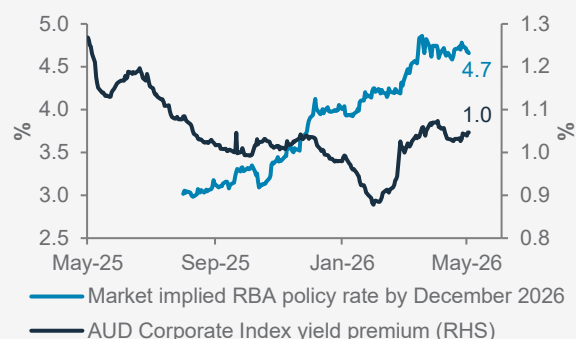
Rationale: Reports suggest the Labour party, led by current UK Prime Minister Keir Starmer, is expected to lose seats in the UK local elections. This scenario appears to be largely priced in by markets as well. Should Starmer manage to maintain his leadership with only minor cabinet changes, markets could interpret this as a signal of political stability, which could in turn support GBP stability.

If leadership challenges intensify, especially if Reform UK and the Greens make gains, downside pressure on GBP/USD could rise. However, the UK faces a challenging economic environment (potential stagflation linked to the ongoing Middle East conflict), which may discourage or delay any immediate leadership challenges. USD weakness amid US-Iran peace talk expectations should also help offset any GBP/USD downside risks.

— Iris Yuen, Investment Strategist

AUD corporate bond yield premium and market-implied RBA policy rate estimates remain rangebound after the recent RBA rate decision

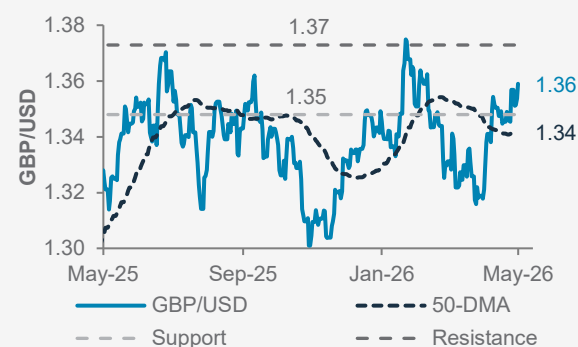
Market-implied RBA policy rate estimate by December 2026, Bloomberg AUD corporate bond total return index (unhedged)



Source: Bloomberg, Standard Chartered

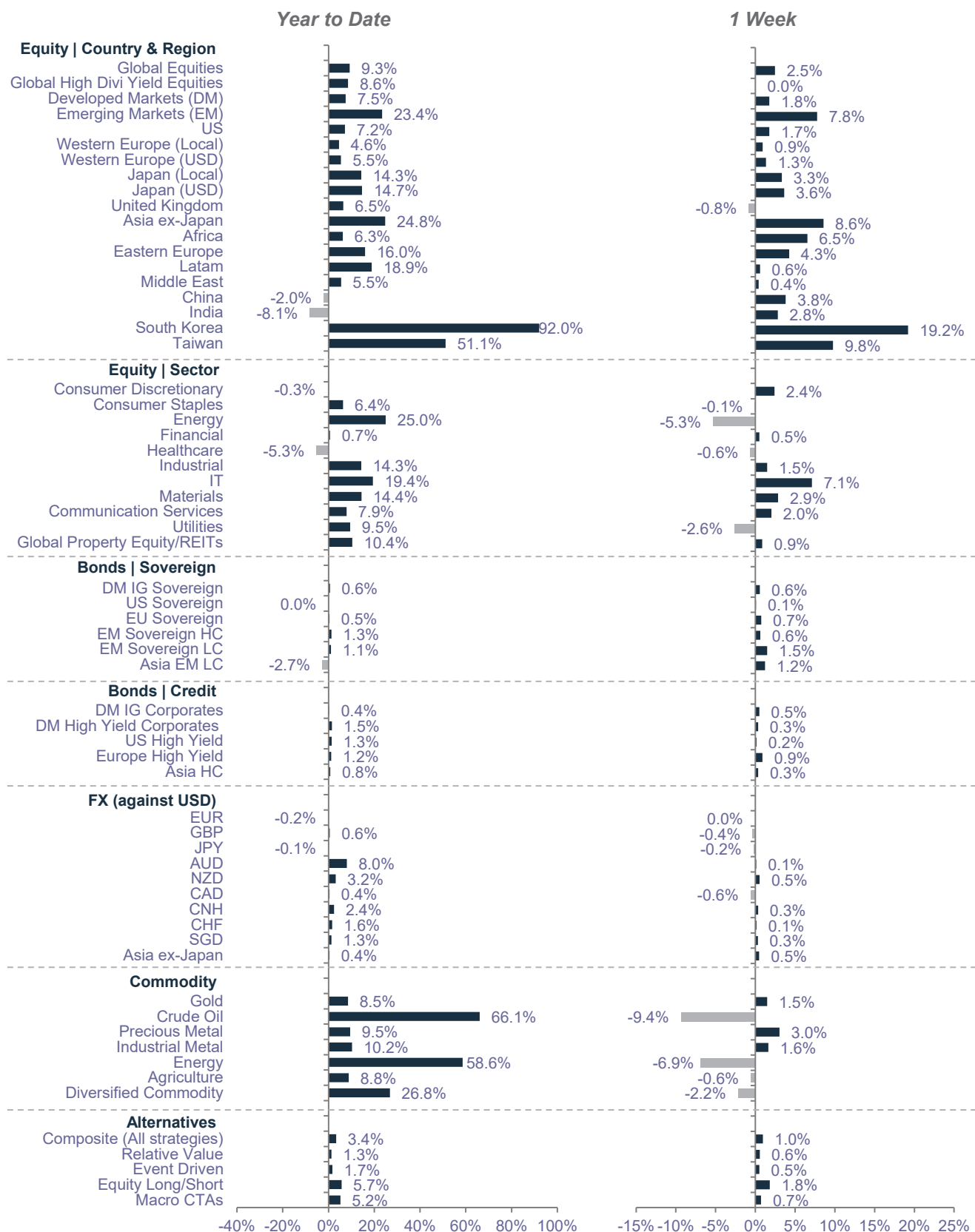
GBP/USD remains largely rangebound

GBP/USD and technical levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 7 May 2026; 1-week period: 30 April 2026 to 7 May 2026

Our 12-month asset class views at a glance

Asset class	
Equities	▲
US	▲
Europe ex-UK	◆
UK	▼
Asia ex-Japan	◆
Japan	◆
Other EM	◆
Bonds	◆
Credit	
Asia USD	◆
Corp DM HY	◆
Govt EM USD	▲
Corp DM IG	◆
Govt	
Govt EM Local	▲
Govt DM IG	▼

Preferred Sectors

US Technology	▲
US Communication	▲
US Healthcare	▲
US Utilities	▲
Europe ex-UK Financials	▲
China Communication	▲
China Technology	▲
China Healthcare	▲

Alternatives

Gold	▲
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Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,637

Technical indicators for key markets as of 7 May close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,337	6,786	7,637	20.9	1.2
STOXX 50	5,973	5,697	6,161	15.2	3.1
FTSE 100	10,277	10,065	10,588	12.7	3.5
TOPIX	3,840	3,698	3,922	17.0	2.3
Shanghai Comp	4,180	3,977	4,282	14.1	2.9
Hang Seng	26,626	25,867	27,028	11.4	3.3
Nifty 50	24,327	23,163	25,046	18.8	1.7
MSCI Asia ex-Japan	1,135	1,002	1,203	12.5	2.0
MSCI EM	1,724	1,539	1,819	11.9	2.4
Crude oil (WTI)	94.8	77.7	114.8	na	na
Gold	4,686	4,495	4,883	na	na
UST 10Y Yield	4.39	4.25	4.49	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	PPI y/y	Apr	1.8%	0.5%
	CNH	CPI y/y	Apr	0.8%	1.0%
	USD	Existing Home Sales	Apr	4.05m	3.98m
TUE	EUR	ZEW Survey Expectations	May	–	-17.2
	EUR	ZEW Survey Current Situation	May	–	-73.7
	USD	NFIB Small Business Optimism	Apr	96.0	95.8
	USD	CPI y/y	Apr	3.8%	3.3%
	USD	Core CPI y/y	Apr	2.7%	2.6%
WED	USD	PPI Final Demand y/y	Apr	–	4.0%
	USD	PPI Ex Food and Energy y/y	Apr	–	3.8%
THU	USD	Initial Jobless Claims	9-May	–	–
	USD	Continuing Claims	2-May	–	–
	USD	Retail Sales Control Group	Apr	–	0.7%
FRI/ SAT	USD	Empire Manufacturing	May	8.0	11.0

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 7 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.38
Global Equities	●	→	1.45
Gold	●	→	1.91
Equity			
MSCI US	●	→	1.44
MSCI Europe	●	↑	2.15
MSCI AC AXJ	●	↓	1.43
Fixed Income			
DM Corp Bond	●	↑	2.11
DM High Yield	●	↑	1.82
EM USD	●	↑	1.82
EM Local	●	↑	3.81
Asia USD	●	↑	2.06
Currencies			
EUR/USD	●	↑	1.84

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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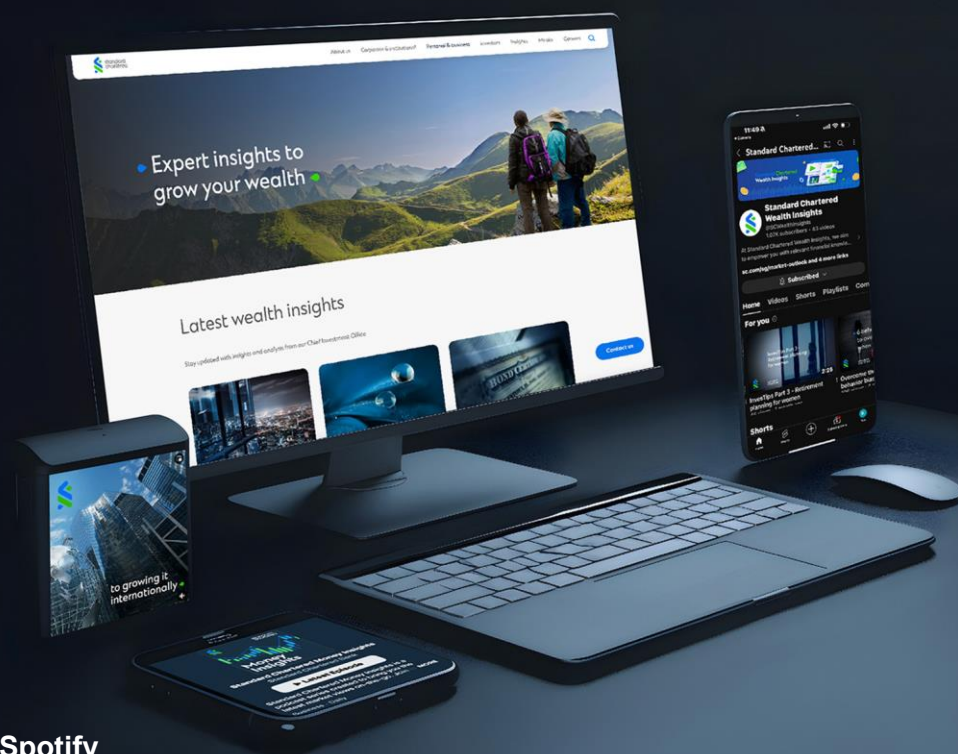
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Weekly Market View

The earnings bedrock

→ US Q1 earnings have beaten estimates, led by the tech sector, providing strong foundation for the equity market rebound.

→ This week, leading US tech firms reiterated strong guidance on AI capex growth and monetisation. This supports our bullish view on US and Asia ex-Japan equities which are likely to benefit the most from AI-related spending.

→ The Fed and the BoJ held rates this week and the ECB and BoE are likely to follow suit. However, we expect the Fed to cut rates later this year to support the job market, while the ECB, BoJ and BoE are likely to hike to counter inflation pressures. The policy divergence is likely to extend USD weakness, supporting Emerging Market assets.

→ A re-escalation in US-Iran hostilities is a near-term risk, but the UAE's departure from OPEC should eventually help increase supplies and lower oil prices, supporting risk assets.



Bullish US tech and semiconductor sectors: strong AI-driven earnings beats

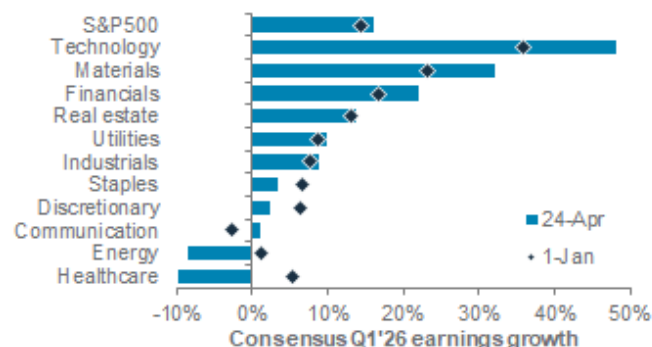
Selective opportunities in GCC bonds: prefer investment grade sovereigns, large banks

Bearish USD/JPY: growing pressure on BoJ to hike rates

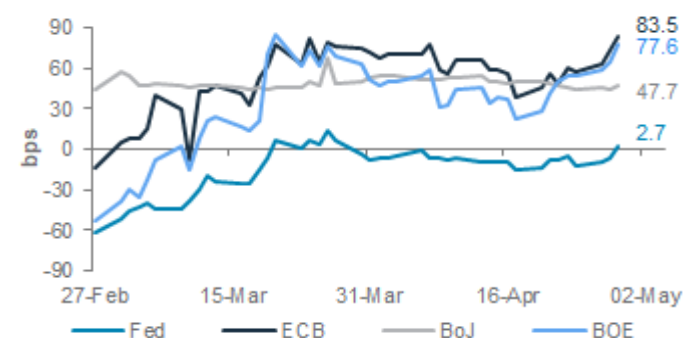
Charts of the week: Another quarter of earnings beats

Earnings beats have supported the equities rebound; central bank policy divergence to weaken USD, support risk assets

Consensus US Q1 earnings estimates, 24 April vs. 1 January



Expected change in central bank rates by December 2026*



Source: LSEG I/B/E/S, Bloomberg, Standard Chartered; *based on money markets, since the start of the US-Iran conflict on 27 February

Editorial

The earnings bedrock

Strategy summary: US Q1 earnings have beaten estimates, led by the tech sector, providing strong foundation for the equity rebound. This week, leading US tech firms reiterated strong guidance on AI capex growth and monetisation. This supports our bullish view on US and Asia ex-Japan equity markets which are likely to benefit the most from AI-related spending.

The Fed and the BoJ held rates this week and the ECB and BoE are likely to follow suit amid uncertainty caused by the Middle East conflict. However, we expect the Fed, under incoming Chair Kevin Warsh, to cut rates later this year to support the job market, while the ECB, BoJ and BoE are likely to hike to counter inflation pressures. The policy divergence is likely to extend USD weakness, supporting Emerging Market assets. A re-escalation in US-Iran hostilities is a near-term risk, but the UAE's departure from OPEC should eventually help increase supplies and lower oil prices, supporting risk assets.

Earnings provide fundamental support to equities: Four out of five S&P500 companies that have reported Q1 earnings so far have beaten expectations. This is above the historical average "beat rate" of 67%. US Q1 and full year 2026 earnings are now estimated to grow by over 16% y/y and 20%, after both estimates were upgraded since the start of the earnings season. The US tech sector continues to drive the stellar earnings, aided by AI capex and AI monetisation. We raise our estimate for global AI capex growth to a 30% annual pace over the next five years (from 27%). Tech sectors in the US and Asia ex-Japan are likely to benefit the most from these investments.

Fed to hold for now, cut rates later this year. The Fed left interest rates unchanged this week amid Middle East tensions and a surge in near-term inflation expectations. The US economy remains resilient, despite rising gasoline prices. However, the job market, already in a low-hiring, low-firing mode, is likely to soften further as high oil prices impact disposable incomes (consensus for April payrolls due on 8 May:

63,000 jobs). We expect the coming change of guard at the Fed to impart a dovish tilt to policy. This week, the Senate Banking Committee cleared Warsh's nomination to proceed to a broader Senate vote, setting the stage for Warsh to take over as Fed Chair by the next policy meeting in June. Under Warsh, we expect a 25bps rate cut by December (see page 7 for details).

Central bank divergence to further weaken USD. The BoJ too held rates this week, citing the Middle East-related uncertainty. The ECB and BoE are likely to follow suit tonight. Nevertheless, we expect them to eventually hike rates, potentially as early as June, given greater inflation risks in Europe and Japan due to higher energy costs vs. the US. We expect the BoJ to hike 50bps and ECB 25bps by December. The policy divergence is likely to drive the USD lower, benefitting Emerging Market equities and bonds.

Near-term Middle East escalation risk: US crude oil surged above USD 100/bbl this week as President Trump plans a longer blockade of the Hormuz strait to put pressure on Iran after talks broke down earlier. However, Iran's oil stockpiles have risen to record highs due to the blockade, raising the risk of damaging production halts if the blockade continues. Given this, we expect negotiations to resume in the coming weeks.

UAE's OPEC departure imparts downside risk to oil prices. While a near-term conflict escalation remains a potential driver of market volatility, we see the UAE's departure from OPEC raising downside risk for oil prices over a 12-month horizon. Reports linked UAE's decision partly to prior discomfort with OPEC's production quotas. The initial oil market impact is likely to be negligible given supply constraints due to the Hormuz Strait closure. However, in the medium-term, the decision could result in higher oil supply, and thus lower prices, as producers maximise market share. Thus, we see WTI, after staying elevated around USD 80-90/bbl near term, eventually settling around USD 70/bbl in 12 months. Lower oil prices should support a global economic recovery and risk assets this year.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

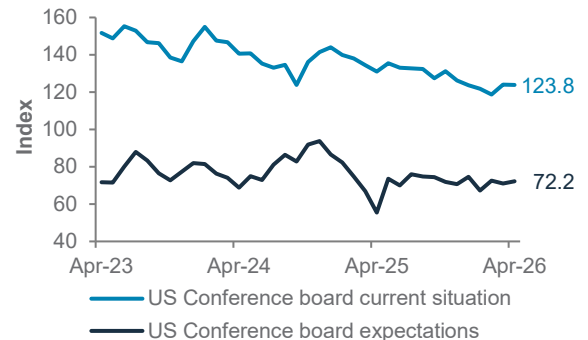
(+) factors: Improving consumer confidence and manufacturing conditions in the US; potential China policy stimulus

(-) factors: Central banks rate pause; ongoing geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US conference board consumer confidence rose unexpectedly to 92.8 - US Richmond Fed's manufacturing index beat estimates in April - China industrial profits rose 15.8% y/y in March - China Manufacturing PMI fell less than expected	- German IFO business climate index and business expectations missed estimates in April - German GfK consumer confidence came in below estimates at -33.3 in May - China non-manufacturing fell more than expected to 49.4 in April
	Our assessment: Neutral – Improving consumer confidence and manufacturing conditions in the US vs. unexpected contractions in Germany	
Policy developments	China's Politburo emphasized stronger fiscal policy to stabilize employment, markets and ensure liquidity	- Fed held rates at 3.75% as expected, amid deepening divide over outlook - Bank of Japan kept rate unchanged at 0.75% as expected, while split vote count and guidance tweak viewed as hawkish signal
	Our assessment: Neutral – Potential China policy stimulus vs. central banks rate pause	
Other developments	- Trump canceled a planned trip to Pakistan by his envoys, leaving the ceasefire in limbo - The Israel-Lebanon ceasefire appeared to be breaking down, with Netanyahu ordering strikes on Hezbollah targets - US has sanctioned one of China's largest private oil refiners, for alleged ties to Iran, raising the stakes ahead of a Trump-Xi summit next month	
	Our assessment: Negative – Ongoing geopolitical tensions	

US Conference Board consumer confidence indices rose more than expected in April

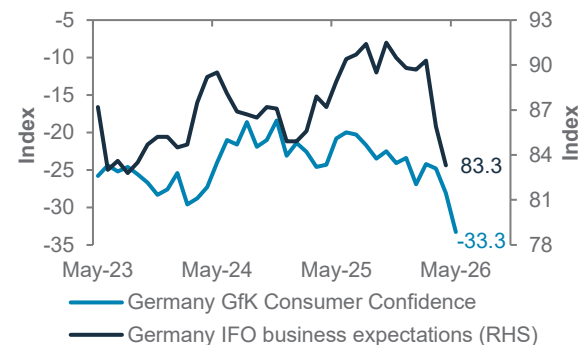
US Conference Board current situation and expectations indices



Source: Bloomberg, Standard Chartered

German consumer confidence has fallen to its lowest level since February 2023 amid rising inflation concerns; German business expectations reflect similarly cautious sentiment

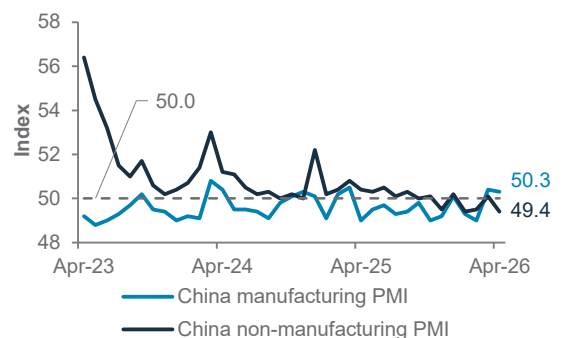
Germany GfK consumer confidence index and German IFO business expectations index



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs declined in April, while manufacturing sector kept above the 50-point mark and beat estimates

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the key takeaways from the US Q1 2026 earnings season so far, including the results of major tech companies?

Our view: *US earnings are providing fundamental support to our Overweight view on US equities and the tech sector, as well as our Opportunistic idea on global semiconductors.*

Rationale: Over one-third of S&P500 companies have reported Q1 2026 earnings so far, with 81% of them beating consensus estimates – well above the average ‘beat rate’ of 67% (Source: LSEG I/B/E/S). Q1 earnings are expected to grow by 16.1% y/y. More positively, **earnings are expected to grow by 20.4% in full-year 2026**, revised up from 19% on 1 April (before the start of the earnings season).

Several major tech companies announced their earnings this week, delivering solid overall results. We believe there are two critical AI data points for major tech companies – **AI capital expenditure (capex)** and **AI monetisation**. AI capex is seeing further upgrades, following management guidance. Hence, we raise our estimate for global AI capex growth to a 30% annual pace for 2025-30 (from 27%). AI monetisation also came in ahead of expectations, with solid growth of 38% y/y in Q1 2026 for the top three cloud platforms.

— **Fook Hien Yap**, Senior Investment Strategist

Q What is the rationale behind your bullish view on global gold mining stocks?

Our view: *Add exposure to gold miners amid a robust earnings outlook and reasonable valuations.*

Rationale: Our Opportunistic idea in global gold miners aligns with our bullish gold outlook, driven by structural drivers, including resilient central bank buying and gold’s role as a hedge against macro risks, persistent inflation and declining real interest rates.

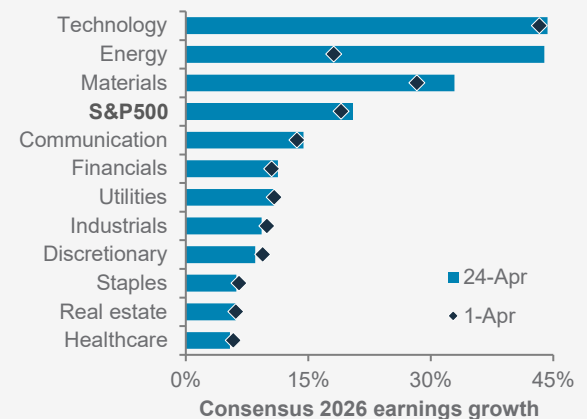
Global gold mining stocks **offer leveraged exposure to gold prices plus equity-style upside**. Higher gold prices expand margins by lifting realised prices, while all-in sustaining costs (AISC) adjust more slowly. With gold trading near USD 4,600/oz and leading miners reporting AISC below USD 2,000/oz, **margins remain elevated at over 50%**, supporting robust free cash flow generation, balance-sheet strength and higher dividends. Valuations remain reasonable, with leading miners trading at forward EV/EBITDA multiples in line with their five-year historical averages.

In the near term, elevated energy prices may pressure operating costs and margins, amplifying downside risks to miners’ earnings, while market volatility could divert flows towards haven currencies, such as the USD. However, **we expect investors to look through near-term liquidity-driven volatility**, with gold miners well-positioned to benefit from supportive macro and policy conditions.

— **Michelle Kam**, CFA, Investment Strategist

US earnings growth estimate for 2026 has nudged up since the start of the Q1 2026 earnings season

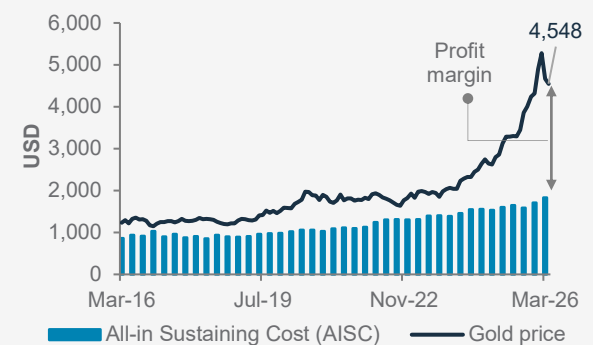
Consensus earnings growth estimate by S&P500 sectors on 24-April and 1-April



Source: LSEG I/B/E/S, Standard Chartered

Gold prices are outrunning rising costs. Gold miners likely to enjoy expanding profit margins

Gold prices and all-in sustaining costs (AISC)*



Source: Bloomberg, Standard Chartered

*AISC data as of 31-Mar-2026

Top client questions (cont'd)

Q What is your view on the US materials sector, given the strong commodity price performance of late?

Our view: *We maintain a Neutral stance on the US materials sector but are selectively focusing on gold miners.*

Rationale: The recent outperformance is primarily in the metals and mining segment, underpinned by **rising commodity prices** and **capex momentum**. The incremental demand from AI infrastructure and the energy transition are generating meaningful demand for copper and aluminium. This has also contributed to **strong earnings momentum** – consensus 12-month forward earnings growth for the US materials sector is now 27.9%, up from 20.6% earlier this year, marking one of the strongest near-term trends across sectors.

However, the chemical industry and the rest of the segments continue to weigh on a more positive view due to modest earnings growth. The ongoing Middle East conflict has resulted in higher oil prices, which is seen as negative for the chemicals segment, particularly speciality chemicals. This may compress margins due to **rising feedstock costs** while **reducing industrial and consumer demand**. We view gold miners as an effective way to gain sector exposure, in line with our Opportunistic outlook, and see the recent short-term retreat in gold prices as a potential entry opportunity.

— **Jason Wong**, Senior Equity Analyst

Q Do Gulf Cooperation Council (GCC) region bonds offer investment opportunities?

Our view: *We see selective GCC bond opportunities, favouring investment-grade (IG) sovereigns and the regional large banks sector. We remain cautious on the property sector.*

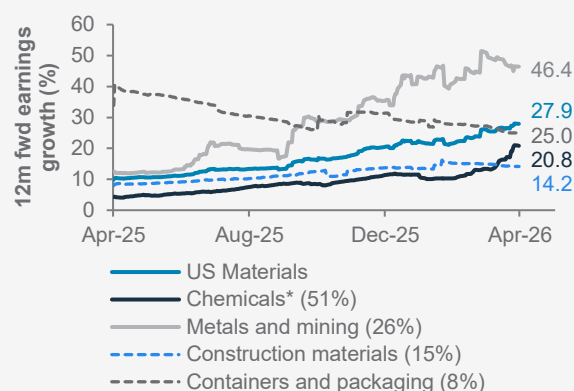
Rationale: Global bond yields have risen year to date (YTD) amid elevated inflation expectations and a greater likelihood of tighter monetary policy. Within the GCC, both conventional and Islamic bonds (sukuk) have underperformed global benchmarks YTD.

Risk premia have risen modestly amid the Middle East conflict. We believe this repricing has created **selective entry points** for investors comfortable with near-term volatility. We see one potential opportunity in **IG sovereigns** with **short-to-medium maturities**, where spreads compensate for potential headline risk amid resilient credit quality. A second area we are constructive is **the regional large banks sector**. While capital outflow and asset quality deterioration are risks to monitor, GCC banks' domestic focus and sovereign- and quasi-sovereign-funded deposit base provide meaningful resilience, making their bonds attractive at current spread levels. However, we are **cautious on the property sector** given the relatively greater vulnerability of the sector's bonds to a regional cyclical slowdown.

— **Cedric Lam**, Senior Investment Strategist

The 12-month forward consensus growth of the US materials sector has risen to 27.9%, led by the metals and mining industry

Consensus 12m forward earnings growth estimate for MSCI US Materials sector and its sub-indices

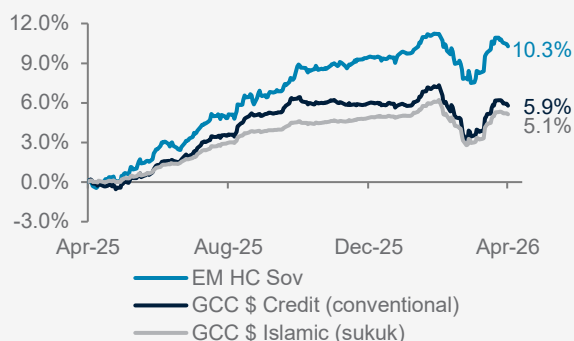


Source: FactSet, Standard Chartered

*(Weighting of the materials sector)

Conventional and Islamic GCC bonds have underperformed broader Emerging Market bonds this year amid the Middle East conflict

12-month return of Bloomberg EM USD Sov + Quasi Sov 10% capped, GCC USD Credit + HY, GCC USD Sukuk Indices



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Does the Bank of Japan's (BoJ's) latest decision to hold its policy rate at 0.75% alter your tactically bullish view on the JPY?

Our view: Upward revision in inflation estimates and growing dissent among BoJ policymakers support our view that the BoJ will hike rates by 50bps to 1.25% by December, in line with money market pricing and our bearish USD/JPY stance.

Rationale: USD/JPY remained rangebound following the BoJ decision, exhibiting only a slight bearish bias due to the absence of any unexpected policy moves. Although the BoJ has revised its inflation expectations upwards – an adjustment that would typically bolster the JPY – the positive effect is tempered by persistent concerns about economic growth and the potential risk of stagflation.

From a technical perspective, **USD/JPY upside appears limited**, with resistance evident in the 160-162 zone, which saw intervention from authorities two years ago. Immediate support lies at 157.2 (the 100-day moving average). We expect USD/JPY to fall towards 152 over a 12-month period as the BoJ eventually hikes rates, while we expect the Fed to cut rates to support the US job market. **Key risks to our view:** i) Middle East conflict escalation, which could increase haven demand for the USD and ii) a more hawkish Fed at its upcoming meeting. However, neither scenario is our base case.

— Iris Yuen, Investment Strategist

Q What are the implications of the UAE's decision to leave the Organization of the Petroleum Exporting Countries (OPEC)?

Our view: The UAE's decision could ultimately result in higher crude oil output, raising downside risks to oil prices long-term, but the near-term picture remains unchanged.

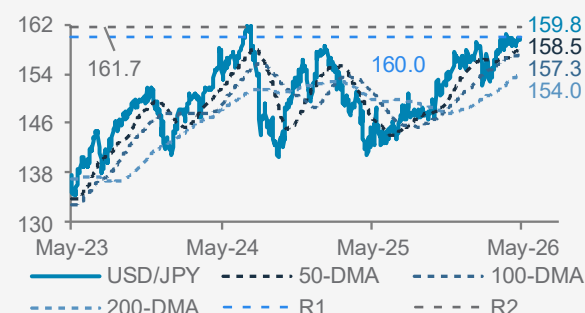
Rationale: The UAE's exit from OPEC opens the door for it to raise its crude oil output. While output is currently limited under OPEC quotas, energy specialists estimate UAE output could rise by up to 1-1.5mbpd (million barrels per day) if its capacity is fully utilised.

Negligible short-term impact is expected, given the real constraint today remains the Hormuz Strait closure. We therefore maintain our **three-month WTI oil price forecast at USD 80-90/bbl**. However, once geopolitical tensions and challenges around fully restarting regional oil output are behind us, higher UAE output would likely result in higher global crude oil output, relative to pre-conflict levels. This arguably raises downside risks to our 12-month USD 70/bbl forecast. Having said that, the **UAE's departure also takes away a significant share of OPEC spare capacity** – the majority of which sat with the UAE and Saudi Arabia. This raises the risk of higher oil price volatility relative to the pre-conflict period.

— Manpreet Gill, Chief Investment Officer, AMEE

USD/JPY upside is likely capped at 160-162

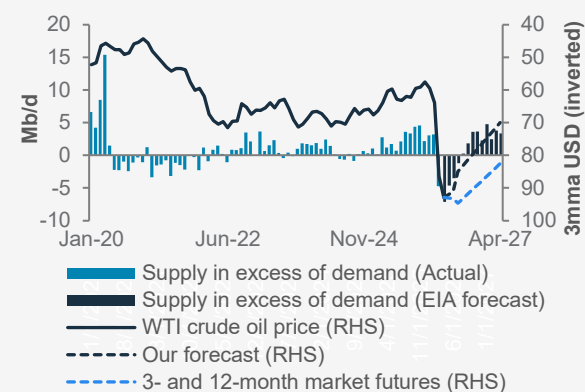
USD/JPY and technical levels



Source: Bloomberg, Standard Chartered

Higher crude oil output from the UAE is raising downside risks to oil prices over the long-term

WTI crude oil spot prices and forecast; total world crude oil supply vs. demand



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is your takeaway from the latest Fed policy meeting?

Our view: *The Fed is likely to hold rates in the next few meetings amid heightened uncertainty due to the Middle East conflict. As Chair Warsh takes charge, we expect the Fed to cut its policy rate by 25bps by December to support a soft job market.*

Rationale: The Fed held rates at 3.75%, as widely expected, but the meeting revealed the deepest internal divisions since October 1992. The 8-4 vote saw three members – Cleveland's Beth Hammack, Minneapolis's Neel Kashkari, and Dallas's Lorrie Logan – support holding rates but push to remove language implying future cuts. Trump appointee Stephen Miran dissented in favour of a 25bps cut.

The dissent centred on the word "additional" in the post-meeting statement, which implied rate cuts remain the next likely move. Several policymakers have argued since January that language should also leave room for a potential hike. Despite this, the phrase was retained, though officials did acknowledge the "high level" of uncertainty stemming from the Middle East conflict.

Chair Powell signalled a more neutral committee stance. However, he added "a majority of us didn't feel like we needed to send a signal right now." Markets reacted hawkishly – the US 2-year bond yield rose as much as 11bps to 3.95% on Wednesday, and the USD index (DXY) climbed 0.4% to 99.05, as markets priced a rate hike in 2027.

On Fed independence, Powell, in what may be his final meeting as Chair, vowed to remain as a Fed Governor at least until an investigation into the Fed's renovation project concludes. Powell's term as Governor ends in January 2028. He called Trump's personal attacks "unprecedented in our 113-year history," warning they risk undermining the Fed's ability to conduct apolitical monetary policy. His decision to stay denies Trump appointees a majority in the seven-member Fed Board. Besides Warsh, Trump's appointees to the Fed Board are Chris Waller and Michelle Bowman.

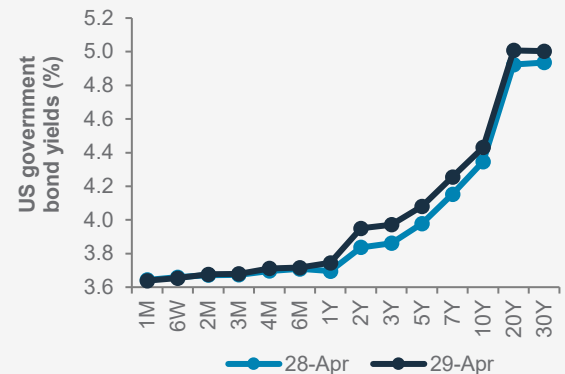
On the economic outlook, the US job market remains in a "low-hiring, low-firing" mode, making it vulnerable to shocks. Near-term inflation is elevated, driven by oil prices which surged above \$108/bbl this week as Trump vowed to extend the Hormuz Strait blockade. However, long-term inflation expectations remain anchored near 2%.

Our base case is for the Fed to hold rates over the next few meetings, but eventually cut 25bps cut to 3.5% by December 2026, as energy costs weigh on consumption and the labour market cools. Thus, we would use the latest selloff on bonds to lock in attractive yields, especially in the 5-7-year horizon. We remain bullish on US inflation-protected bonds to hedge against near-term inflation risks. We also expect the USD index to weaken towards 96 over the next 12 months as the Fed cuts rates.

— Rajat Bhattacharya, Senior Investment Strategist

The US yield curve shifted up, with biggest rise in the 2-3-year range, as markets viewed the growing Fed dissents as hawkish

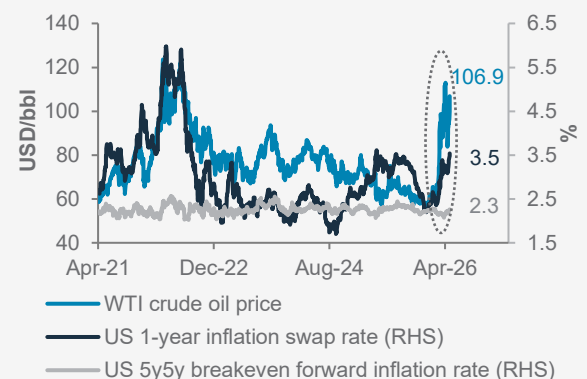
US government bond yields across various tenures



Source: Bloomberg, Standard Chartered

While US near-term inflation expectations have surged, long-term expectations remain anchored

US WTI crude oil price, 1-year and 5-year inflation expectations



Source: Bloomberg, Standard Chartered

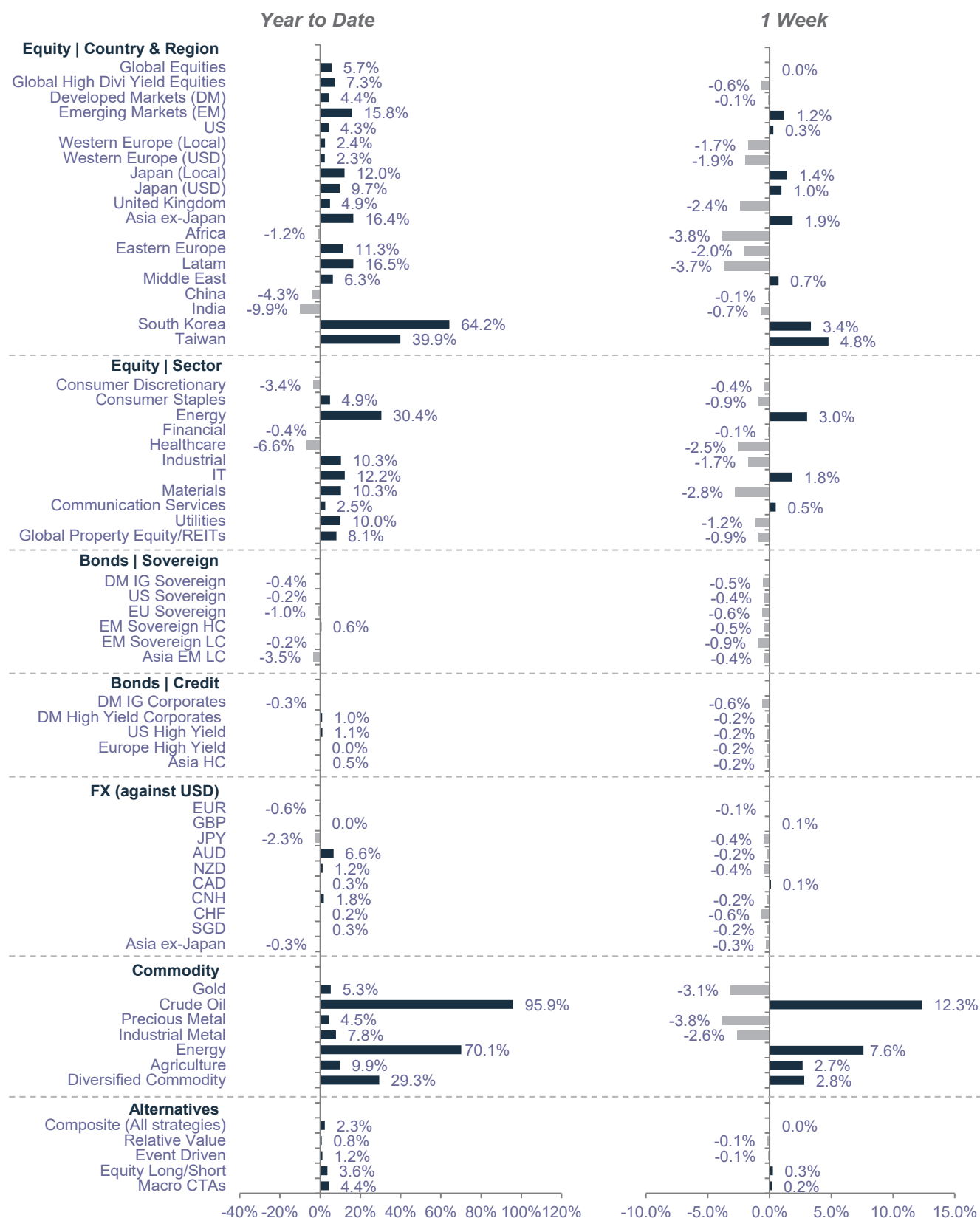
We see the recent hawkish turn in market pricing as an opportunity to lock in 5-7-year bond yields

Money market estimates of Fed rate in Dec-26



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 29 April 2026; 1-week period: 23 April 2026 to 29 April 2026

Our 12-month asset class views at a glance

Asset class	
Equities	▲
US	▲
Europe ex-UK	▼
UK	▼
Asia ex-Japan	▲
Japan	◆
Other EM	◆
Bonds	◆
Credit	
Asia USD	◆
Corp DM HY	◆
Govt EM USD	▲
Corp DM IG	◆
Govt	
Govt EM Local	▲
Govt DM IG	▼

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,437

Technical indicators for key markets as of 29 Apr close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,136	6,576	7,437	20.7	1.2
STOXX 50	5,816	5,509	6,099	14.9	3.2
FTSE 100	10,213	9,885	10,615	12.7	3.5
TOPIX	3,772	3,556	3,906	17.1	2.3
Shanghai Comp	4,108	3,948	4,191	13.8	2.9
Hang Seng	26,112	24,838	26,958	11.2	3.3
Nifty 50	24,178	22,706	25,125	18.5	1.7
MSCI Asia ex-Japan	1,060	948	1,121	12.3	2.1
MSCI EM	1,618	1,458	1,710	11.7	2.5
Crude oil (WTI)	106.9	85.8	122.8	na	na
Gold	4,548	4,349	4,818	na	na
UST 10Y Yield	4.43	4.29	4.50	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period	Expected	Prior
MON	EUR Sentix Investor Confidence	May	–	-19.2
TUE	AUD RBA Cash Rate Target	5-May	–	4.1%
	USD Trade Balance	Mar	-\$59.7b	-\$57.3b
	USD ISM Services Index	Apr	53.9	54.0
	USD New Home Sales	Mar	668k	–
	USD JOLTS Job Openings	Mar	6700k	6882k
WED	CNH RatingDog China PMI Composite	Apr	–	51.5
	CNH RatingDog China PMI Services	Apr	–	52.1
	EUR PPI y/y	Mar	–	-3.0%
	USD ADP Employment Change	Apr	–	62k
THU	JPY BOJ Minutes of March Meeting	–	–	–
	EUR Retail Sales y/y	Mar	–	1.7%
FR/SAT	USD Change in Nonfarm Payrolls	Apr	63k	178k
	USD Unemployment Rate	Apr	4.3%	4.3%
	USD U. of Mich. Sentiment	May P	48.8	49.8
	CNH Exports y/y	Apr	–	2.5%
	CNH Imports y/y	Apr	–	27.8%
	CNH Trade Balance	Apr	–	\$51.13b

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 29 Apr close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.02
Global Equities	●	→	1.82
Gold	●	↓	1.43
Equity			
MSCI US	●	→	1.75
MSCI Europe	●	↓	1.67
MSCI AC AXJ	●	↑	1.67
Fixed Income			
DM Corp Bond	●	↓	1.88
DM High Yield	●	↑	2.50
EM USD	●	→	2.08
EM Local	●	↓	1.60
Asia USD	●	↑	2.21
Currencies			
EUR/USD	●	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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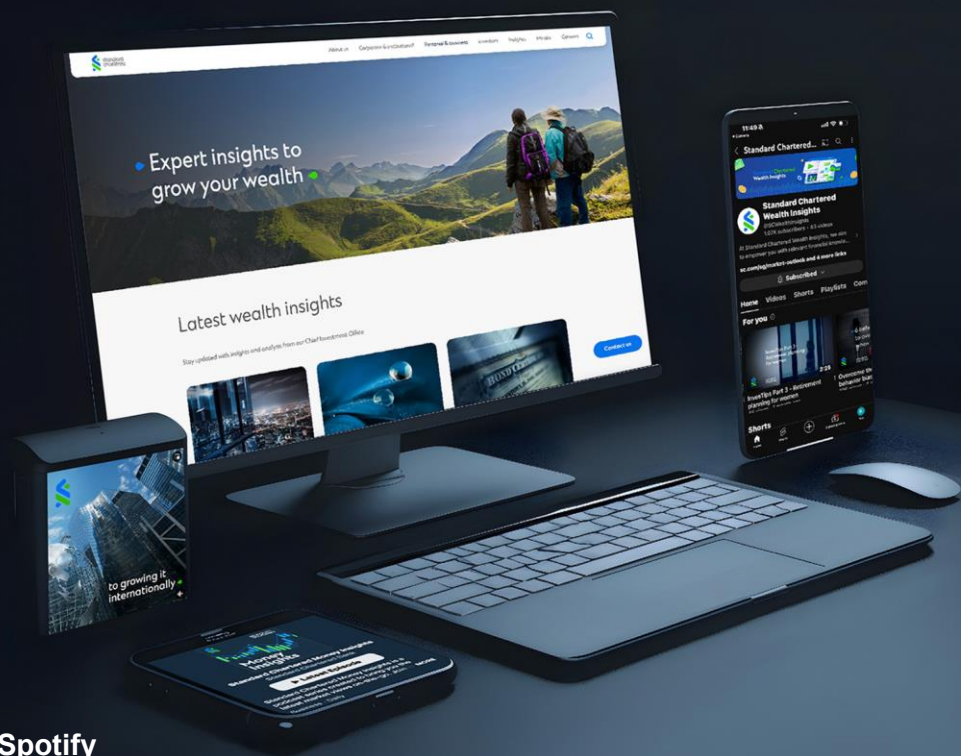
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Weekly Market View

Full circle

→ Global equities have recovered losses suffered during the Middle East conflict on hopes of a resolution.

→ The recovery in risk assets once again highlights the importance of staying invested through geopolitical crises, as long as fundamentals don't change significantly. If the US-Iran truce holds, we expect strong US earnings to drive the next leg of the rally.

→ US Q1 bank earnings have beaten expectations, reflecting resilient macro fundamentals. We prefer the US technology and utilities equity sectors which are likely to report strong revenue and earnings on the back of soaring AI-related demand.

→ We also expect the USD to continue its downtrend, after a brief period of consolidation, amid expectations of policy divergence between a neutral-to-dovish Fed and hawkish other major central banks such as the ECB, BoJ and BoE.

Bullish US tech and utilities sectors: strong earnings beats expected on AI demand

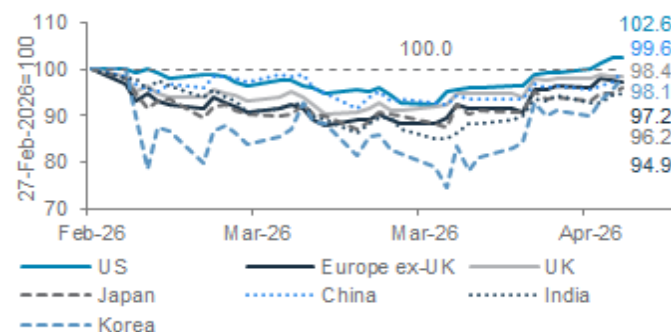
Prefer US short-duration High Yield bonds: attractive yield, low rate sensitivity

Bearish USD/CAD: elevated oil prices, broad USD weakness

Charts of the week: Round trip

Equity markets have largely recovered their Middle East conflict losses; strong US earnings likely to sustain the recovery

Key equity markets since the start of the Middle East conflict*



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered; *Index: 100 = 27 February

Consensus estimates for US Q1 corporate earnings, by sectors



Editorial

Full circle

Strategy summary: The global equities benchmark has recovered losses suffered during the Middle East conflict on hopes of a resolution. The recovery in risk assets once again highlights the importance of staying invested through geopolitical crises, as long as fundamentals don't change significantly. If the US-Iran truce holds, we expect strong US earnings to drive the next leg of the rally.

US Q1 bank earnings have beaten expectations, reflecting resilient macro fundamentals. We prefer the US technology and utilities equity sectors which are likely to report strong revenue and earnings on the back of soaring AI-related demand. We also expect the USD to continue its downtrend, after a brief period of consolidation, amid expectations of policy divergence between a neutral-to-dovish Fed and hawkish other major central banks such as the ECB, BoJ and BoE.

Staying invested delivers again as risk assets do a round trip: US equity markets have recovered all the losses suffered during the Middle East conflict and scaled record highs, with Europe and Asia not far behind, amid expectations of negotiations leading to an extended truce. Israel and Lebanon have also announced a ceasefire. Negotiations are likely to remain tense, sustaining near-term volatility. Nevertheless, as flagged at the start of the conflict, we continue to expect constraints on both parties to lead to a resolution and a restart of energy flows through the Hormuz strait in the next few weeks.

Constraints driving negotiations towards a truce: The constraints driving the conflicting parties to the negotiating table include: a) President's Trump need to revive his flagging approval ratings and sustain equity and bond markets heading into November's mid-term elections; b) the Iranian regime's need for self-preservation; and c) pressure from Iran's key trade partners in Asia for a swift resolution and restart of Middle East oil supplies since any delay in restart of supplies beyond April is likely to severely impact their economies. Also, sustaining US equity market strength has become an even bigger necessity for US administrations in the post-COVID years, given the so-

called "wealth effect" of the upper income segment of the population increasingly driving services consumption and economic growth. Meanwhile, capping bond yields and gasoline prices is key to supporting a housing recovery and maintaining middle class real incomes.

Strong US earnings to drive next leg of equity rally. The US equities rebound is backed by robust corporate earnings. Major US banks have delivered strong Q1 earnings beats so far, driven by robust trading and mergers and acquisitions activity. This reflects a resilient macro backdrop. However, weaker guidance on net interest income is a headwind for banks more reliant on lending, rather than investment banking activity. Our technical and quantitative models remain risk-on and investor positioning in US equities is close to neutral, which leaves scope for further upside if earnings continue beat expectations.

We prefer the technology sector, especially the semiconductor segment, which is expected to report another quarter of strong revenue and earnings growth in the coming weeks. As the chart above shows, the tech sector continues to drive US earnings growth amid accelerating AI capex and surge in semiconductor prices. We also like the US utilities sector as it benefits from power demand from AI-related data centres.

USD faces further downside. The USD appears structurally weak. The USD index (DXY) has fallen for eight straight sessions after earlier failing to sustainably break above 100 at the peak of the Middle East conflict in March. Latest US data, including the Fed's Beige Book survey, point to negative impact on consumer/business sentiment, though real activity remains resilient. Upstream inflation pressures are starting to build due to higher oil prices. This is likely to keep the Fed, ECB and the BoJ monetary policies on hold in the next few months. Nevertheless, we see higher risk of the ECB and BoJ hiking rates by Q3 to counter inflation pressures. Meanwhile, the Fed, under a new Chair, is likely to ease by Q4 as its focus turns to supporting the job market. The widening rate differential is likely to drive the USD lower this year, supporting global risk assets.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

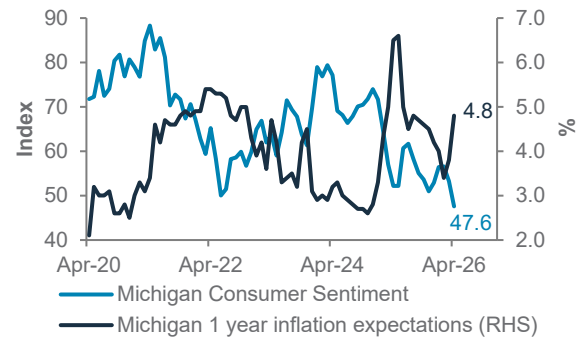
(+) factors: Stable US core inflation, strong China economic growth; likely easing of geopolitical tensions

(-) factors: Rising US inflation expectations; Fed rate cuts delayed

	Positive for risk assets	Negative for risk assets
Macro data	- US headline and core consumer prices rose less than expected by 3.3% y/y and 2.6% y/y respectively in March - US headline and core producer prices rose less than expected by 4.0% y/y and 3.8% y/y respectively in March - China GDP grew 5% y/y in Q1'26, beating estimates	- US Michigan consumer sentiment fell more than expected to 46.1 in April - US Michigan 1-year inflation expectations came in above expectations at 4.8% y/y in April - US NFIB Small Business Optimism Index came in below expectations at 95.8 - China exports grew less than expected by 2.5% y/y - China retail sales grew less than expected by 1.7% y/y in March
	Our assessment: Neutral – Stable US core inflation, strong China economic growth vs. rising US inflation expectations	
Policy developments	ECB President Lagarde pushed back against growing market speculation of imminent rate hikes	- Fed's Goolsbee said rate cuts may need to wait until 2027 if high oil prices keep inflation elevated - Fed's Hammack expected interest rates to stay on hold for some time
	Our assessment: Neutral – Lower ECB rate hike expectations vs. Fed rate cuts delayed	
Other developments	- President Trump signalled a second round of US-Iran peace talks could start within the next two days, after the first round of talks over the weekend failed to secure an agreement - Lebanon and Israel engaged in first direct talks in decades to address the ongoing conflict	- Trump ordered a blockade of the Strait of Hormuz from Monday, targeting all ships entering or exiting Iranian ports - The US administration planned to use Section 301 to rebuild the tariff wall after the Supreme Court's tariffs ruling
	Our assessment: Positive – Likely easing of geopolitical tensions	

US consumer sentiment fell to a record-low, impacted by rising inflation concerns

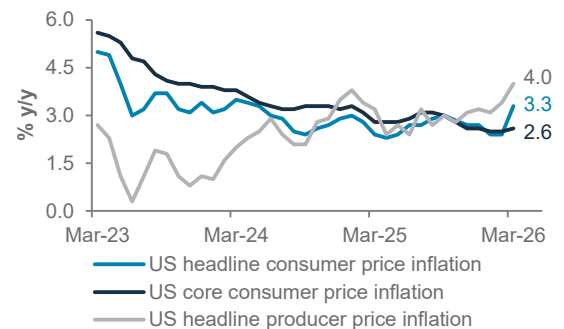
US Michigan consumer sentiment and Michigan 1-year inflation expectations



Source: Bloomberg, Standard Chartered

US headline consumer and producer inflation rose to the highest level since May 2024 and Feb 2023 respectively, but core consumer inflation was little changed

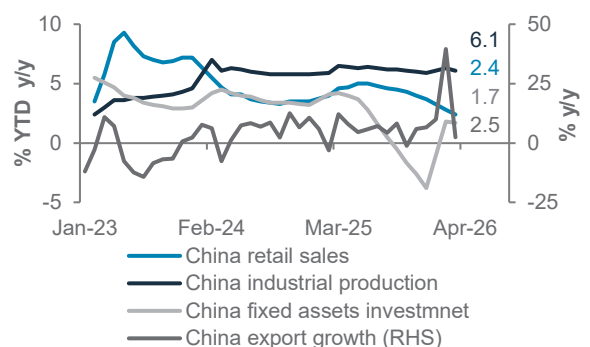
US headline and core consumer price inflation; US headline producer price inflation



Source: Bloomberg, Standard Chartered

China's export growth slowed sharply in March, impacted by the Middle East conflict; retail sales and fixed asset investments missed estimates

China retail sales, industrial production, fixed asset investment and export growth



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the key takeaways from US banks' Q1 earnings? What is your view on the upcoming US tech earnings?

Our view: *Uncertainty persists in US financials. We maintain a preference for semiconductors within global tech.*

Rationale: Major US banks broadly delivered solid Q1 2026 earnings. **Resilient non-net interest income (NII) growth**, including strong investment banking momentum, was supported by favourable macro conditions underpinning M&A and equity trading activity. ROE also remained strong (mid-to-high-teens) across major banks. In contrast, weaker NII guidance warrants caution, especially when it comes to banks with higher sensitivity of NII to top-line growth, given our expectations for further Fed rate cuts in H2 2026.

Middle East conflict uncertainty remains a risk to the US economy and Fed interest-rate trajectory. As more regional banks report, the focus will remain on rate and capital adequacy outlook, private credit and provisioning trend exposure, deposit competition, credit quality and issuance activity, and AI-related disruption vs. opportunity.

Focus now turns to global tech earnings in coming weeks. Recent semiconductor earnings support our **preference for semis** within global tech, driven by accelerating global AI capex. With recent valuation de-rating, the sector offers an attractive entry point.

— Michelle Kam, CFA, Investment Strategist

Q What are the investment implications of technology companies' surging power demand?

Our view: *We are positive on the US utilities sector, given the increasing demand for power. Companies involved in power grid upgrades and maintenance are also expected to benefit.*

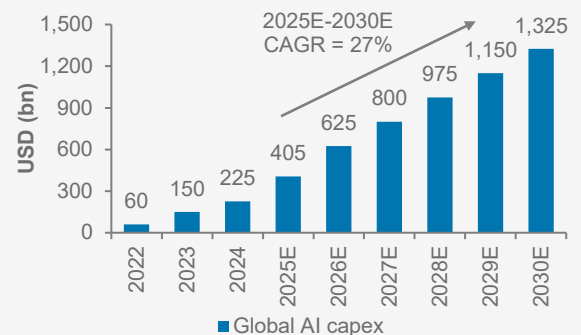
Rationale: Growing electricity demand from tech companies to power their AI-linked data centres has highlighted the advantage of new technologies that can deliver power years faster than established power generation sources. **'Time to power'** (speed of electricity delivery) has become an important consideration besides cost and supply chain concerns. Renewables are an alternative, but their intermittent nature means they are used to supplement baseload power sources.

As investors explore opportunities in new power technologies, we believe that **sizing is critical**. Remain cautious and align allocations to unproven technologies considering your risk appetite. We expect US utilities, including independent power producers and nuclear operators, to benefit from the structural power demand growth. We also expect major investment in the US electricity network, driven by ageing infrastructure, digitalisation, energy transition needs, etc.

— Fook Hien Yap, Senior Investment Strategist

AI's capital intensity is expected to stay elevated

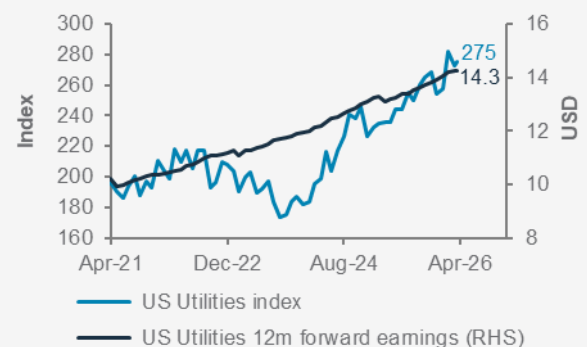
Global AI capex and estimates over the years



Source: Company reports, Standard Chartered

The US utilities equity sector is attractive, with steady earnings growth and a boost from technology companies' power demand

MSCI US Utilities sector and its 12-month forward EPS



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Q Are you still positive on Developed Market (DM) HY corporate bonds after recent yield premium tightening?

Our view: *Given market volatility could persist, we prefer short-duration US HY bonds to capture still-attractive yield.*

Rationale: Middle East conflict escalation initially caused the DM HY yield premium to widen from the tights, but it has since **retraced much of the widening after US-Iran peace talks began in early April**. We believe a quick conflict resolution is unlikely, but our base case assumes there will be no material impact on global growth and inflation. Meanwhile, credit fundamentals remain solid, with below-average default rates and refinancing risks largely deferred until 2027-28 following earlier refinancing activities. Fund flows turned positive again in April as peace talks began.

While the absolute DM HY yield remains attractive, we expect additional performance from yield premium tightening to be more marginal. Thus, a prudent way to play the DM HY theme is through our opportunistic idea, **short-duration US HY corporate bonds**. This offers the advantage of lower drawdowns amid volatility while capturing the still-attractive yield on HY corporate bonds.

— Ray Heung, Senior Investment Strategist

Q What is your outlook for oil prices and USD/CAD as US and Iran negotiate a truce?

Our view: *Crude oil prices are expected to remain elevated. USD/CAD expected to continue drifting lower, driven primarily by a soft USD; support seen at 1.3540.*

Rationale: The Iran crisis has injected a significant geopolitical risk premium into global oil prices. WTI prices have eased from a peak near USD 112/bbl to above USD 90/bbl today. The pullback reflects signs of near-term demand softening and conflict de-escalation. However, continued oil transit route disruptions and the drawdown of floating storage buffers could quickly drive prices higher again. Hence, the balance of risks to our USD 75/bbl three-month oil price outlook is increasingly skewed to the upside.

This is supportive of the Canadian dollar (CAD), given its correlation with oil. However, the dominance of USD weakness means the CAD has remained resilient despite the recent pullback in oil prices. As a result, USD/CAD has trended lower.

Technically, the bearish USD/CAD trend is reinforced by a break below the 200-day moving average and the 38.2% retracement level of March's rally. Near term, the pair remains biased lower, contingent on continued USD softness and sustained geopolitical risks.

— Anthony Naab, CFA, Investment Strategist

— Iris Yuen, Investment Strategist

Global HY bonds' yield premium is almost back to the lows, but absolute yield is still attractive

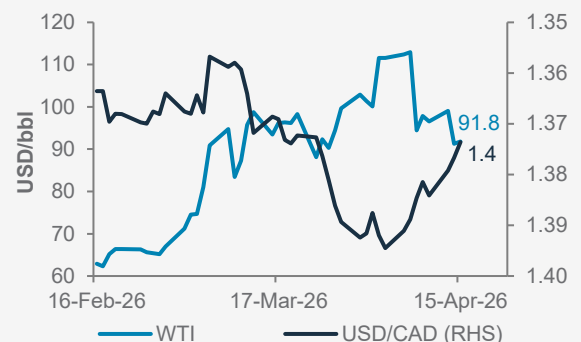
Bloomberg Global HY Corporate Bond Index yield and yield premium



Source: Bloomberg, Standard Chartered

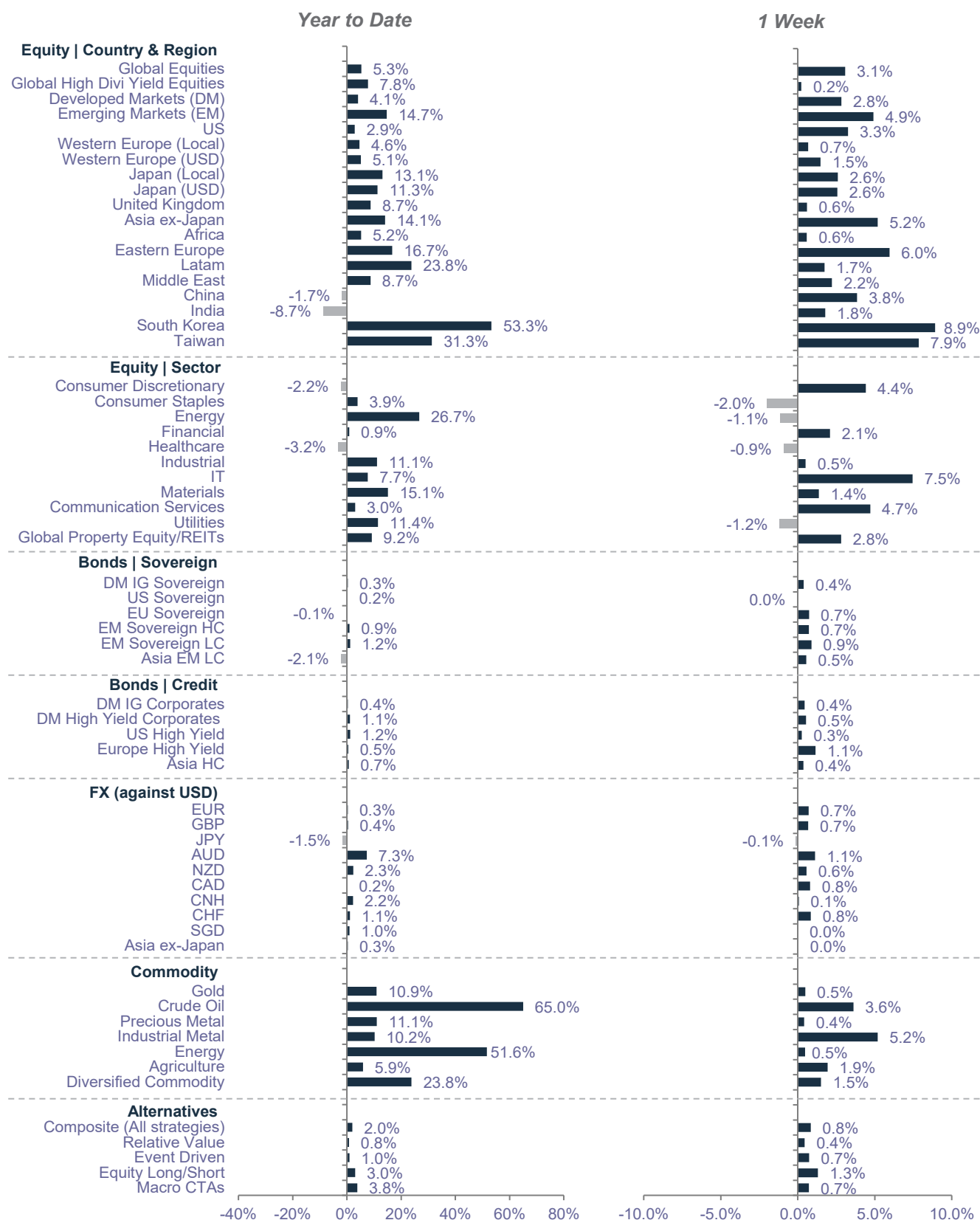
While USD/CAD typically tracks oil, its recent decline despite softer WTI signals a breakdown in the correlation, driven mainly by USD weakness

WTI spot prices and USD/CAD



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 16 April 2026; 1-week period: 9 April 2026 to 16 April 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ▼	US Healthcare ▲
UK ▼	US Utilities ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	
Other EM ◆	China Communication ▲
	China Technology ▲
	China Healthcare ▲
Bonds ▼	
Credit	
Asia USD ◆	Alternatives ◆
Corp DM HY ▲	
Govt EM USD ▲	Gold ▲
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,289

Technical indicators for key markets as of 16 Apr close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,041	6,555	7,289	20.7	1.2
STOXX 50	5,933	5,545	6,154	15.4	3.1
FTSE 100	10,590	9,944	10,962	13.3	3.4
TOPIX	3,814	3,567	3,943	17.3	2.3
Shanghai Comp	4,056	3,864	4,178	13.6	2.9
Hang Seng	26,394	24,931	27,130	11.4	3.3
Nifty 50	24,197	22,786	25,004	18.4	1.6
MSCI Asia ex-Japan	1,039	945	1,086	12.5	2.1
MSCI EM	1,603	1,459	1,676	11.9	2.6
Crude oil (WTI)	94.7	80.2	113.4	na	na
Gold	4,790	4,245	5,190	na	na
UST 10Y Yield	4.31	4.16	4.47	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON					
TUE	EUR	ZEW Survey Expectations	Apr	–	-0.5
	EUR	ZEW Survey Current Situation	Apr	–	-62.9
	USD	Retail Sales Ex Auto and Gas	Mar	0.2%	0.4%
WED	GBP	CPI y/y	Mar	–	3.0%
	GBP	CPI Core y/y	Mar	–	3.2%
	EUR	Consumer Confidence	Apr P	–	-16.3
THU	EUR	S&P Global Eurozone Manufacturing PMI	Apr P	–	51.6
	EUR	S&P Global Eurozone Services PMI	Apr P	–	50.2
	USD	Chicago Fed Nat Activity Index	Mar	–	-0.11
	USD	Initial Jobless Claims	18-Apr	–	–
	USD	Continuing Claims	11-Apr	–	–
	USD	S&P Global US Manufacturing PMI	Apr P	–	52.3
	USD	S&P Global US Services PMI	Apr P	–	49.8
	USD	S&P Global US Composite PMI	Apr P	–	50.3
FRI/ SAT	EUR	IFO Business Climate	Apr	–	86.4

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 16 Apr close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.16
Global Equities	●	→	1.71
Gold	●	↑	1.82
Equity			
MSCI US	●	→	1.88
MSCI Europe	●	↑	1.80
MSCI AC AXJ	●	↑	1.58
Fixed Income			
DM Corp Bond	●	↑	3.00
DM High Yield	●	↑	1.76
EM USD	●	↑	1.78
EM Local	●	↑	1.80
Asia USD	●	↑	1.87
Currencies			
EUR/USD	●	↓	1.61

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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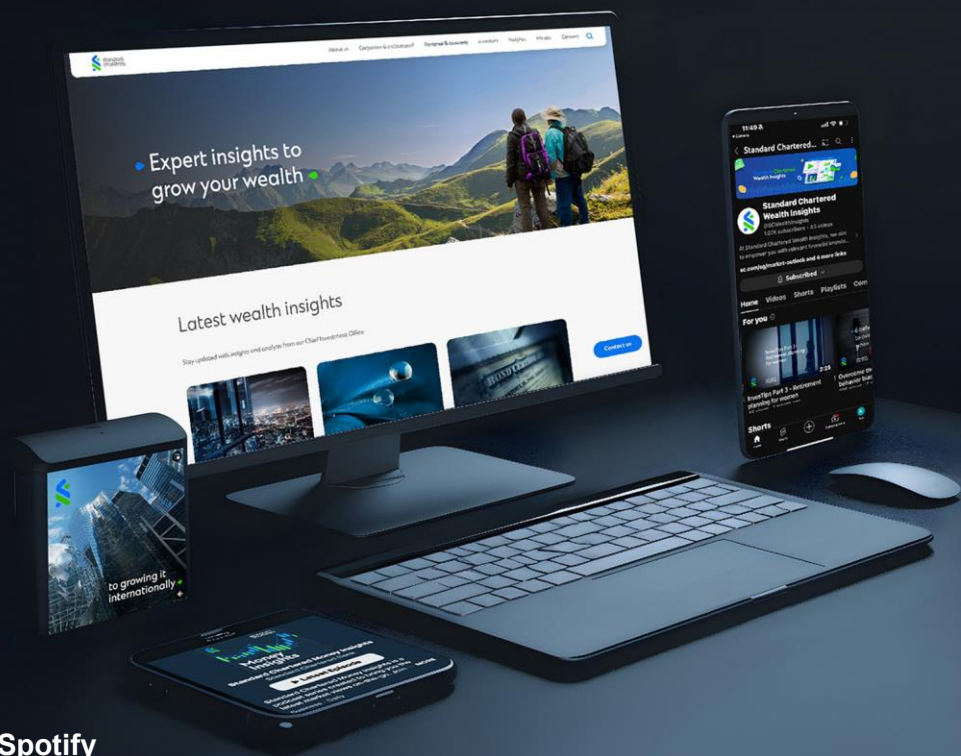
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